

Procure Space ETF

SPCX NASDAQ

Hold	\$166.79 ▼ 2.98%	12M Price Target \$185.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.20T
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SPCX: Space ETF Cools After Rocket Rally, Policy Still Bullish

WHAT HAPPENED

- SPCX dropped 3% today after a monster week — the ETF ran from \$148 to \$172 in just four sessions (that's a 16% move), so this looks like profit-taking, not a change in story. No overnight news, no filings, nothing broken.
- Options flow is leaning bearish short-term — the put/call ratio is 1.08 (more people betting on downside than upside) and there's a huge block of 71,861 puts at the \$165 strike. Translation: traders are hedging or betting on a further pullback into next week.

WHY IT MATTERS

This is a cooling-off day inside a bigger uptrend, not a trend break — the ETF is still sitting at 51% of its 52-week range with room to run. The real story is that space has become a geopolitical priority: the Trump administration's "Golden Dome" missile defense initiative is pouring billions into space-based sensors and interceptors, and that money flows directly to SPCX's top holdings (think Rocket Lab, Planet Labs, Iridium, AST SpaceMobile). The pullback probably means traders are waiting for the next catalyst — likely either a defense appropriations update or Q3 earnings from the big launch names — before pushing it higher. Watch for institutional buyers (Alphabet already owns 7.2%, which is a wild tell about where big tech thinks space is going) to defend the \$160 level.

POLICY & POLITICAL WATCH

The Golden Dome missile defense program is the single biggest policy tailwind here — it's a multi-year, multi-hundred-billion-dollar buildout and Congress has been fast-tracking funding through defense authorization bills. Also watch the FY2027 defense budget negotiations heating up this fall: if the Space Force gets another double-digit percentage increase (it's gotten one every year since 2020), SPCX's defense-exposed holdings get a bigger order book. The headwind to watch: any FCC spectrum ruling that goes against satellite broadband players would hit holdings like AST SpaceMobile hard.

IS IT EXPENSIVE?

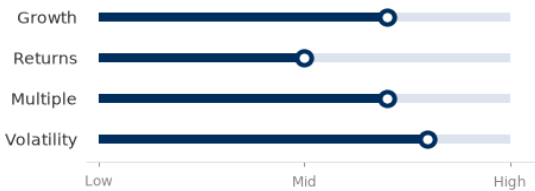
ETFs don't trade on P/E ratios the way stocks do — what matters is what you're paying for the basket. Right now you're buying 30-ish space companies that are mostly early-stage and unprofitable, so this trades more like a thematic growth fund than a value play. At \$166, it's roughly in the middle of its 52-week range (\$105-\$226), which means it's not screaming cheap but it's not frothy either — fair price for a sector with real catalysts.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$166.79
12M Price Target	\$185.00
Upside / (Downside)	+10.9%
Market Cap	\$2.20T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$170.00	\$150.00
6 Months	\$210.00	\$180.00	\$140.00
1 Year	\$240.00	\$190.00	\$130.00
2 Years	\$290.00	\$220.00	\$120.00
5 Years	\$400.00	\$280.00	\$110.00
10 Years	\$600.00	\$380.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.4%) led today — classic defensive rotation when risk assets wobble. Utilities also quietly up 4.6% over 5 days, which tells you money is getting a little nervous.

COOLING OFF: Tech (-0.35%) and Consumer Discretionary (-0.20%) softened — same risk-off tone that hit SPCX. Space trades like high-beta tech, so when tech sneezes, SPCX catches a cold.

ROTATION WATCH: Money rotated out of growth/risk and into defensives today — but it's one-day noise, not a regime change. The 5-day picture still shows tech up almost 3%, so the uptrend is intact.

RELATED PLAY: If space keeps running, look at the pure defense primes (LMT, NOC, RTX) that build the actual missile defense systems the Golden Dome needs — they capture the same policy tailwind with less volatility.

WHO'S WINNING IN THIS SPACE?

- **RKLB (Rocket Lab):** The Neutron rocket is approaching first flight and they keep winning Space Force contracts — probably the single biggest driver inside SPCX.
- **ASTS (AST SpaceMobile):** Satellite-to-phone play with AT&T and Verizon partnerships — any FCC spectrum win sends it flying.

SPCX CONTEXT: SPCX is tracking its top holdings closely — when RKLB and ASTS run, the ETF runs. The fact that it pulled back 3% today while tech only dropped 0.35% tells you space has higher beta (bounces around more than the market) — expect bigger up days AND bigger down days than broad tech.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the policy setup a lot, but after a 16% four-day run I'd rather buy the dip than chase.

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding, and the volatility means you don't want to be oversized.

ENTRY POINTS: \$155-162 on any further pullback would be a great add zone; chasing above \$175 feels like paying up.

TIME HORIZON: 12-24 months — the Golden Dome buildout is a multi-year story, so give it time to play out.

WHEN TO BAIL: If Congress cuts Space Force funding, if two top holdings have launch failures in the same quarter, or if the ETF breaks below \$140 on heavy volume.

HEDGING: Pair with a small short on an unprofitable-tech ETF like ARKK to isolate the space thesis — if risk-off hits all speculative names, your short cushions the blow while your space bet still has upside from policy wins.